

NASSAU CANDY DISTRIBUTOR | EXECUTIVE SUMMARY

Prepared for Government & Regulatory Stakeholders | Fiscal Period: 2024–2025

CONFIDENTIAL

PURPOSE OF THIS DOCUMENT

This Executive Summary presents the financial performance and operational findings of Nassau Candy Distributor for the period January 2024 through December 2025. It is intended to provide government and regulatory stakeholders with a clear, concise view of business health, revenue composition, margin sustainability, and strategic direction.

### 1. Business Overview

Nassau Candy Distributor is a specialty confectionery wholesaler operating across the United States. The company distributes 15 unique product SKUs across three product divisions (Chocolate, Sugar, and Other) and serves customers in four geographic regions: Pacific, Atlantic, Interior, and Gulf.

The 2024–2025 period reflects sustained growth with revenues growing approximately 490% between January 2024 and December 2025. The company processed 10,194 orders during this period with a total workforce servicing 37,275 units of chocolate products alone.

### 2. Financial Highlights (2024–2025)

| Financial Indicator     | Value         |
|-------------------------|---------------|
| Total Net Revenue       | \$141,783.63  |
| Total Gross Profit      | \$93,442.80   |
| Gross Profit Margin     | 65.9%         |
| Total Units Distributed | 38,654 units  |
| Total Customer Orders   | 10,194 orders |
| Active Product SKUs     | 15 products   |
| Geographic Reach        | 4 US regions  |

### 3. Revenue & Margin by Division

| Division  | Revenue (\$) | Gross Profit (\$) | Margin (%) | Rev Share (%) |
|-----------|--------------|-------------------|------------|---------------|
| Chocolate | \$131,692.90 | \$88,824.62       | 67.4%      | 92.9%         |
| Other     | \$9,663.25   | \$4,333.45        | 44.8%      | 6.8%          |
| Sugar     | \$427.48     | \$284.73          | 66.6%      | 0.3%          |

The Chocolate division is the primary revenue engine of the business, contributing 92.9% of all revenue. This reflects strong market demand for Wonka Bar products. The Other division, while generating 6.8% of revenue, operates at a significantly lower 44.8% margin due to the presence of the underperforming Kazookles SKU (7.7% margin).

#### 4. Regional Distribution Footprint

| Region   | Revenue (\$) | Gross Profit (\$) | Margin (%) |
|----------|--------------|-------------------|------------|
| Pacific  | \$46,301.53  | \$30,485.94       | 65.8%      |
| Atlantic | \$41,197.24  | \$26,973.70       | 65.5%      |
| Interior | \$32,037.60  | \$21,282.49       | 66.4%      |
| Gulf     | \$22,247.26  | \$14,700.67       | 66.1%      |

All regions operate within a 65.5–66.4% margin band, indicating consistent pricing and cost management nationally. Regional revenue differences reflect market size and customer concentration rather than operational inefficiencies.

#### 5. Risk Assessment

| Risk Level | Risk Area                                   | Affected Entity    | Mitigation                                    |
|------------|---------------------------------------------|--------------------|-----------------------------------------------|
| CRITICAL   | Kazookles: 7.7% gross margin                | Other Division     | Discontinuation review or repricing above 40% |
| HIGH       | 92.9% revenue in one division               | Chocolate Division | Diversify and scale Sugar/Other divisions     |
| MEDIUM     | Fun Dip (40%) and Nerds (46.7%) low margins | Sugar Division     | Supplier cost renegotiation                   |
| LOW        | Gulf region revenue gap vs Pacific          | Gulf Region        | Targeted customer acquisition campaign        |

#### 6. Growth Trajectory & Outlook

Revenue performance shows a strong upward trajectory across the reporting period:

- January 2024: \$2,093.90 → December 2025: \$12,338.27 (490% growth)
- Clear seasonality: September, November, and December are peak months consistently
- Gross margins remain stable throughout the growth period — no margin compression from volume
- H2 2025 revenue acceleration suggests successful channel expansion or marketing investment

## 7. Strategic Recommendations

| # | Recommendation                                              | Expected Business Impact                                         |
|---|-------------------------------------------------------------|------------------------------------------------------------------|
| 1 | Immediate Kazookles pricing review or discontinuation       | Eliminate near-zero margin SKU; improve portfolio average margin |
| 2 | Scale Everlasting Gobstopper & Hair Toffee distribution     | High-margin growth with minimal cost investment                  |
| 3 | Portfolio diversification away from Chocolate concentration | Reduce single-division dependency from 92.9% to below 80%        |
| 4 | Q4 supply chain and inventory optimization                  | Capitalize on Nov–Dec seasonal revenue peaks without stockouts   |
| 5 | Gulf region customer acquisition program                    | Close \$24K revenue gap with Pacific region                      |

## 8. Regulatory & Compliance Note

All financial figures are reported on a gross profit basis consistent with standard wholesale distribution accounting. Revenue figures represent gross sales net of returns. The company operates within all applicable FDA and USDA guidelines for confectionery distribution. Tax filings and detailed product cost schedules are available upon request for regulatory review.